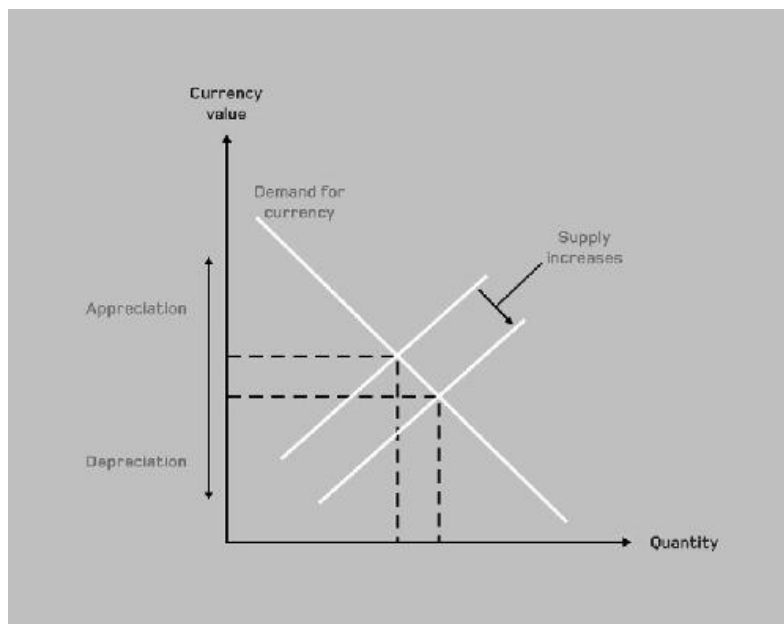


Exchange rate depreciation

If the pound was worth \$2.50 last week, but \$2.30 today, its value has fallen: the pound has depreciated, the dollar appreciated. When the exchange rate can move freely, what determines its level? In simple terms, the price of a currency is like that for pens: it is determined by supply and demand. A country with high inflation will tend to see a depreciating exchange rate, because the currency's purchasing power falls. Higher interest rates will tend to draw in foreign capital and cause the exchange rate to rise. The exchange rate is also influenced by the level of imports and exports: the trade deficit that occurs when a country's imports exceed exports causes depreciation of its currency. This can be helpful, however, because it makes domestic goods more internationally competitive and helps to boost exports. In modern globalized capital markets, investors' perceptions about the riskiness of putting money into countries have their own impacts on the exchange rate: political instability can deter investors and lead to declines in currencies' values.



For a given level of demand, an increase in the supply of currency will lead to a depreciation in the market value.